consolidated market data, by facilitating executing broker-dealers' access to information.

One commenter cautioned the Commission to ensure that fee structures are not designed to unduly target competing consolidators in practice, especially if one or more SROs become competing consolidators.[1181] All fees for the data underlying consolidated market data must satisfy the statutory standards, including not being unreasonably discriminatory. A fee that unduly "targets" competing consolidators in an unfair or unreasonable manner would not satisfy statutory requirements.

One commenter stated that it hoped that in a new competitive model that overall costs for broker-dealers would be lower. The commenter, however, stated that broker-dealers would still need to purchase proprietary data to get information that is not included in consolidated market data. Therefore, the commenter suggested that the Commission ensure that safeguards are in place to keep exchanges from increasing market data prices to recoup revenue lost from the requirement to provide new core data to competing consolidators.[1182] The Commission will analyze fees for data content underlying consolidated market data consistent with the standards set forth above. The new governance structure required by the Governance Order,[1183] as well as the recently adopted Effective-Upon-Filing Amendments,[1184] will provide additional

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1181 See AHSAT Letter at 2.

1182 See Clearpool Letter at 3 ("It will therefore be important for the Commission to ensure that robust safeguards are in place under the new regime to control market data costs and prevent exchanges from just increasing market data prices to make up for any loss of revenue due to the proposed requirement to provide the new core data to competing consolidators.").

1183 See Governance Order, supra note 1128.

1184 See Effective-Upon-Filing Adopting Release, supra note 17.

opportunities for interested market participants to participate in establishing effective national market system plan fees. In the Governance Order, the Commission stated that "a more diverse set of perspectives from full voting members of the operating committee of the New Consolidated Data Plan would improve the governance structure of the SIPs and help to ensure that the [O]perating [C]ommittee benefits from these views before it takes action or files plan amendments with the Commission."[1185] Further, pursuant to the Effective-Upon-Filing Amendments, fees established and proposed by the effective national market system plan(s) are no longer effective upon filing but must be published for public comment and approved by the Commission before they can take effect.

Several commenters discussed whether market data fees would be lower in a decentralized consolidation model.[1186] One commenter suggested that if competitive forces fail to materialize and drive fees for consolidated market data down that the Commission should adopt a rule to enable it to review consolidated market data fees for fairness, reasonableness, and non-discriminatory pricing.[1187] Another commenter stated that the New Consolidated Data Plan, the Effective-Upon-Filing Amendments,[1188] the Commission's continued scrutiny of exchange fee proposals, and public disclosure of SRO costs were necessary predicates to control market data costs.[1189] Fees for the data content underlying consolidated market data must be filed with

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1185 Governance Order, supra note 1128.

1186 See Clearpool Letter; Schwab Letter; Fidelity Letter; Nasdaq Letter IV; Citadel Letter.

1187 See Schwab Letter at 6.

1188 See Effective-Upon-Filing Adopting Release, supra note 17.

1189 See Fidelity Letter at 8.

the Commission pursuant to Rule 608 and must satisfy statutory standards.

In addition, one commenter stated that the Commission failed to analyze how exchanges have incentives to cut trading fees in order to win market share and increase market data revenues. The commenter stated that the proposal would eliminate the incentive to reduce trading fees. Further, this commenter argued that the Commission failed to consider the all-in price of trading.[1190] However, another commenter stated that market data fees comprise "a larger-than-ever share" of overall transaction costs and urged the Commission to ensure that any new fees are consistent with the Exchange Act.[1191]

The Commission is not considering the proposed fees for data content underlying consolidated market data in this release; they have not been developed or filed with the Commission, as required pursuant to Rule 608. The effective national market system plan(s) will have to develop and file such proposed fees with the Commission pursuant to Rule 608 within 150 days of the effectiveness of Rule 614, as noted above[1192] and they must satisfy statutory standards.[1193]

As discussed above, the Commission believes that there will be downward pressure on the fees for the data content underlying consolidated market data as compared to fees for proprietary data. The proposed new fees for the data content underlying consolidated market

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1190 See Nasdaq Letter IV at 29.

1191 ICI Letter at 11.

1192 See infra Section III.H.2.

1193 See supra note 1172 and accompanying text. In the Market Information Concept Release, the Commission said that "the total amount of market information revenues should remain reasonably related to the cost of market information." Market Information Concept Release, supra note 22, at 28.

data, while needing to reflect additional new content, will be evaluated by the Commission for compliance with statutory standards and one way to assess compliance is to show they are reasonably related to costs.[1194] In addition, proposed SRO connectivity fees will have to satisfy statutory standards in a similar manner to reflect the mandatory nature of such connectivity. Finally, the fees established by competing consolidators for their consolidated market data products will be subject to competitive market forces in the aggregation and transmission of such data.

One commenter stated its "strong opinion" that "the regulated privilege of order protection [pursuant to Rule 611] be accompanied by a requirement to openly disseminate information regarding those orders at no revenue to the SRO or liquidity provider."[1195] This commenter stated that this could lead to "higher net transaction fees or even order placement fees," but the commenter said that "competitive forces are working better with respect to net transaction fees than market data fees."[1196] In the alternative, the commenter suggested that competing consolidators pay the SROs their marginal cost to disseminate data but also acknowledged that marginal costs may be difficult to calculate. Further, the commenter stated that "[t]he marginal cost is likely to strictly focus on the modest networking costs of an additional multicast recipient, and to exclude SRO software development or broader marketplace costs."[1197]

This comment relates to a future proposed fee amendment. The Commission has not

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1194 See Proposing Release, 85 FR at 16770; supra note 1172 and accompanying text. See also supra note 1158.

1195 AHSAT Letter at 2.

1196 Id.

1197 Id.

proposed to modify the revenue formula or set fees for data content underlying consolidated market data.

(d) Comments on Transparency of Market Data Fees

Several commenters stated that there should be enhanced transparency around market data fees.[1198] One commenter suggested that the Commission require exchanges to publicly disclose, on a periodic basis, the cost of the equity market data content that they sell to competing consolidators in order to allow the Commission and the public to ensure that the fees for this data are fair and reasonable.[1199]

The Commission has reviewed these comments and reiterates that any fees for data content underlying consolidated market data, including subsets of consolidated market data, will be set pursuant to fees that will be proposed and filed by the effective national market system plan(s) pursuant to Rule 608.[1200]

(e) Comments on Fees for Different Consolidated Market Data Offerings

In the Proposing Release, the Commission stated that the plan(s) would develop and file with the Commission fees for SRO data content required to be made available by each SRO to competing consolidators and self-aggregators for the creation of proposed consolidated market data and could also develop fees for data content underlying other consolidated market data offerings that contain subsets of the components of consolidated market data.[1201] The

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1198 See Fidelity Letter; State Street Letter; Schwab Letter; SIFMA Letter; Committee on Capital Markets Letter; ACTIV Financial Letter at 3.

1199 See Committee on Capital Markets Regulation Letter at 3.

1200 See supra note 1174 and accompanying text.

1201 See Proposing Release, 85 FR at n.616 and accompanying text.

Commission believed that the effective national market system plan(s) could develop different fees for data content underlying market data offerings that contain subsets of the data content underlying consolidated market data based upon the needs of market participants and cited a NYSE proposal to develop different levels of SIP data products.[1202] Thus, in addition to developing a fee for data content underlying a consolidated market data offering that contains all of the data content underlying consolidated market data,[1203] the plan could develop a fee for data content underlying a consolidated market data offering that contains only TOB information, regulatory data, and administrative data, or the plan could develop a fee for depth of book data, regulatory data, and administrative data but not auction information. As described, the proposed new fee schedule would include proposed new fees for the data content underlying consolidated market data, as well as any proposed new fees for consolidated market data offerings that reflect only a subset of consolidated market data.

One commenter challenged the view that the plan(s) would develop different fees for different subsets of the data content underlying consolidated market data.[1204] The commenter

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1202 See, e.g., NYSE Equities Insights, Stock Quotes and Trade Data: One Size Doesn't Fit All (Aug. 22, 2019), available at https://www.nyse.com/data-insights/stock-quotes-and-trade-data-one-size-doesnt-fit-all. The NYSE proposed offering different levels of services based on the needs of market participants ("NYSE SIP Tiers Proposal"). The Operating Committee could develop different products that utilize consolidated market data components and propose the relevant fees for such products. See also Feb. NYSE Letter.

1203 As described above, the Commission is adopting a new definition of consolidated market data products, which will allow competing consolidators to develop market data product offerings that contain all consolidated market data or subset thereof. See Rule 600(b)(20); Section II.B.2.

1204 See NYSE Letter II at 4.

stated that the Commission could not assume that the Operating Committee would develop such fees.[1205] The Commission notes that this commenter had developed a proposal similar to the suggestion for SIP data.[1206] The commenter had acknowledged in its proposal that a "one-size-fits-all" SIP data product was not meeting the needs of market participants[1207] and recommended that the Operating Committee establish different content products that would be designed to serve the needs to specific types of investors.[1208] The Commission believes that the Operating Committee will consider the needs of investors and the different use cases for consolidated market data when developing the proposed fees for the data content underlying consolidated market data. The Commission recently has taken steps to help to ensure that the needs of investors are considered in the national market system in addition to the adopted rules. For example, the New Consolidated Data Plan is required to contain a new governance structure that has a broader representation of market participants involved in the operation of the plan,[1209] and the Commission adopted amendments to the filing and review process for plan fees.[1210]

One commenter, however, suggested that competing consolidators, not the Operating Committee, should be able to develop competing products that contain consolidated market data.[1211] This commenter said that competing consolidators could develop products to satisfy the needs of market participants.[1212] Competing consolidators will develop consolidated market data

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1205 See id.

1206 See NYSE SIP Tiers Proposal, supra note 1202.

1207 Id.

1208 Id.

1209 See Governance Order, supra note 1128.

1210 See Effective-Upon-Filing Adopting Release, supra note 17.

1211 See MEMX Letter at 8.

1212 See id.

products that their end users desire. However, the Commission believes that the Operating Committee of the effective national market system plan(s) needs to develop the fees associated with the data content underlying any consolidated market data product or subset thereof. The Operating Committee is well-situated to develop and propose such fees. However, competing consolidators could convey their subscribers' market data needs to the Operating Committee and suggest new offerings as necessary, as could any person. Further, competing consolidators could communicate via the public comment process for effective national market system plan(s)' proposed data content underlying consolidated market data fees that must be filed with the Commission pursuant to Rule 608.

(f) Comments on Collection of Fees for Data Content Underlying Consolidated Market Data and Allocation of Revenues

The effective national market system plan(s) would be responsible for collecting the fees for the data content underlying consolidated market data and underlying any consolidated market data offerings that contain subsets of the components of consolidated market data. The effective national market system plan(s) also would be responsible for allocating revenues among the SRO participants.

One commenter stated that the Commission failed to address the revenue allocation formula in the Proposing Release and how it would work under the decentralized consolidation model, if at all.[1213] The commenter stated these issues are needed to evaluate the proposed rules

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[1213] See Nasdaq Letter IV at 37. See also id. at 39–40 and 60, n. 149 (stating that the proposal fails to address how the revenue allocation formula adopted as part of Regulation NMS and the new framework for disseminating and pricing market data

and that failure to address the revenue allocation formula was arbitrary and capricious. The revenue allocation formula was adopted in Regulation NMS, and the Commission stated that "the language added to the Plans by the Allocation Amendment can be adjusted in the future pursuant to the normal process of Commission approved amendments."[1214] The Commission believes that the Operating Committee is best placed to evaluate whether and, if so, how the revenue allocation formula needs to be amended to reflect the new content of data that is included in the definition of consolidated market data as well as the new responsibilities of the primary listing exchanges in collecting and calculating Regulatory Data. Any plan amendment would be developed by the Operating Committee and filed with the Commission pursuant to Rule 608.

(g) Comments on Accounts and Audits

As proposed, the plan(s) would be responsible for overseeing accounts and conducting audits for purposes of billing, among other things. The plan(s) generally would also have to develop a harmonized approach to data billing protocols, including with respect to any unified MISU policy.[1215]

One commenter stated that the proposal did not specify how contracting for data would occur under the plan(s), including who would enter into contracts with, collect fees from, and resolve disputes with customers.[1216] This commenter questioned whether "(a) the SROs would

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would work together, and that abandoning the revenue allocation formula would be arbitrary and capricious and therefore violate the APA).

1214 Regulation NMS Adopting Release, supra note 7, at 37561–62.

1215 See supra note 1124.

1216 See IDS Letter I at 12.

charge data fees to the competing consolidators and then the competing consolidators would pass through the cost of data to their customers, (b) the SROs would charge competing consolidators' customers directly for the SROs data, or (c) the NMS Plans would charge data fees to the competing consolidators and their customers."[1217]

As stated in the Proposing Release, the effective national market system plan(s) would charge the fees for the data content underlying consolidated market data, collect the revenue, oversee accounts and billing, and develop billing protocols, including any MISU policies. The proposal set forth the responsibilities of the effective national market system plan(s) as to billing. The SROs would not be responsible for charging competing consolidators or their customers directly for consolidated market data.

The Commission believes that the licensing, billing, and audit processes under the decentralized consolidation model could be similar to existing processes that are in place under the Equity Data Plans. For example, while today the Equity Data Plans provide a data feed to market participants, the fees and billing for that data are not based simply upon the receipt of the data feed. Rather, broker-dealers and other market participants who receive SIP data are billed based upon both the type of user (e.g., professional vs. non-professional) and specific use cases for the data (e.g., display vs. non-display). Purchasers of SIP data provide the administrator of the Equity Data Plans with information and attestations about the number and type of users and specific use cases, and the administrator (or its auditor) audit and assess this information to determine appropriate billing for SIP data purchasers.

As discussed above, the SROs can comply with their obligation under Rule 603(b) to make all data necessary to generate consolidated market data available by providing their

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[1217] Id.